STARTUP TRACTION ANALYSIS

Where the Money Actually Is

A traction analysis of 1,000 public startups and why the loudest signals (followers, category hype, growth headlines) are the least trustworthy ones.

1,000
Startups analyzed

$15.6M
Total 30-day revenue

20%
Report $0 in MRR

The Shape of the Data, Before We Argue Anything

1,000 public revenue-transparency listings. Before drawing conclusions, three facts about the distribution itself matter - because they determine which statistics can be trusted later.

19.7%

of startups report $0 MRR

A large share of listings are pre-revenue or dormant - not active businesses.

$282

median MRR across all 1,000

The typical startup here is tiny. Averages will be misleading without medians alongside them.

18.2%

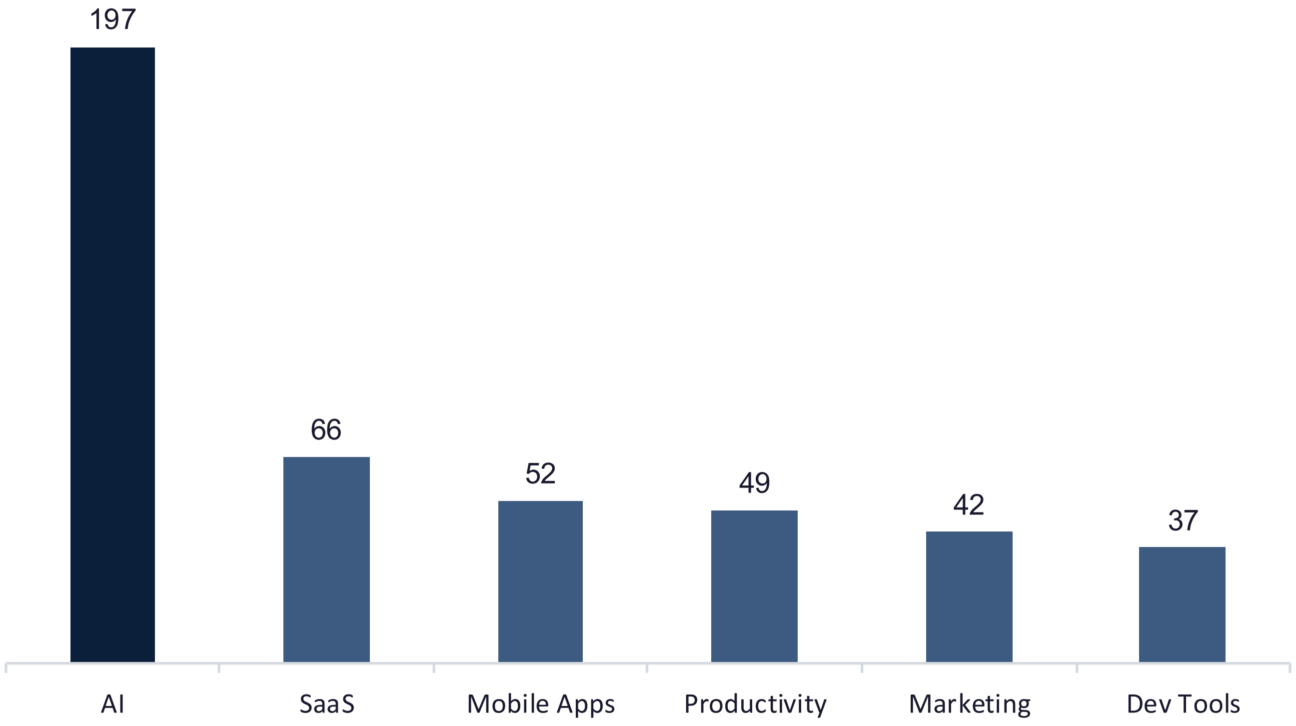
of all revenue comes from 1 company

Stan alone accounts for nearly a fifth of total 30-day revenue in the dataset.

Note: performance benchmarks throughout this analysis use the median. Means are shown only where the outlier gap itself is the finding.

The Obvious Read: Everyone's Building AI

Category volume: number of listed startups



1 in 5

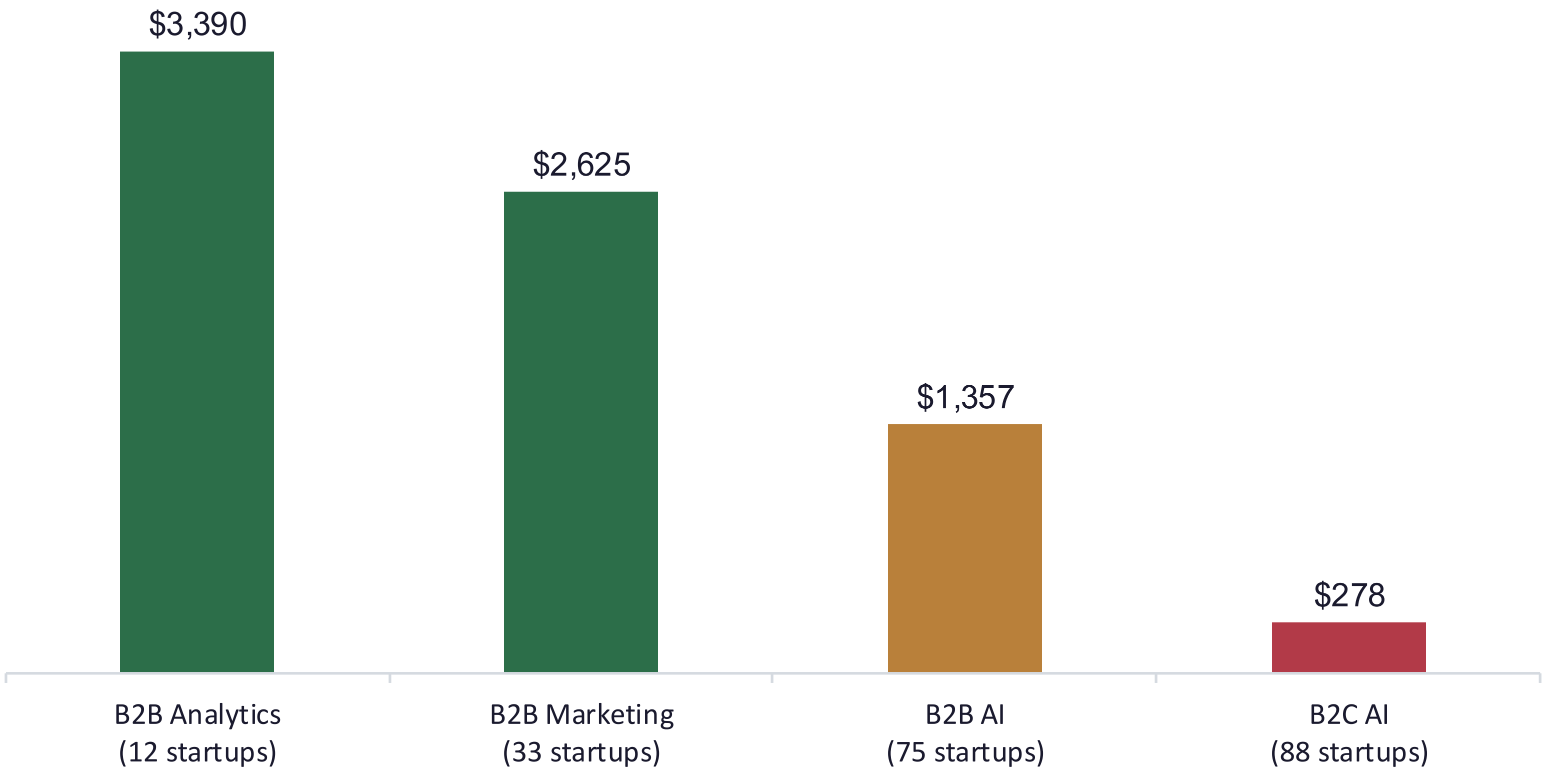
of every listing in this dataset is an AI startup, nearly 3x the next largest category (SaaS).

The open question: does that much building activity translate into revenue?

INFERENCE

Founders are chasing hype, not opportunity

Category volume and category profitability move in opposite directions.



12x

gap between B2B Analytics and B2C AI median MRR, despite B2C AI having 7x more listings.

The volume–value mismatch is observed directly in the data. The hype-driven explanation for it is our interpretation.

INFERENCE

SEO compounds. Social attention doesn't convert.

Median MRR by domain-rating tier: a near-linear compounding relationship.

535x

spread in median MRR from the lowest to highest domain-rating tier.

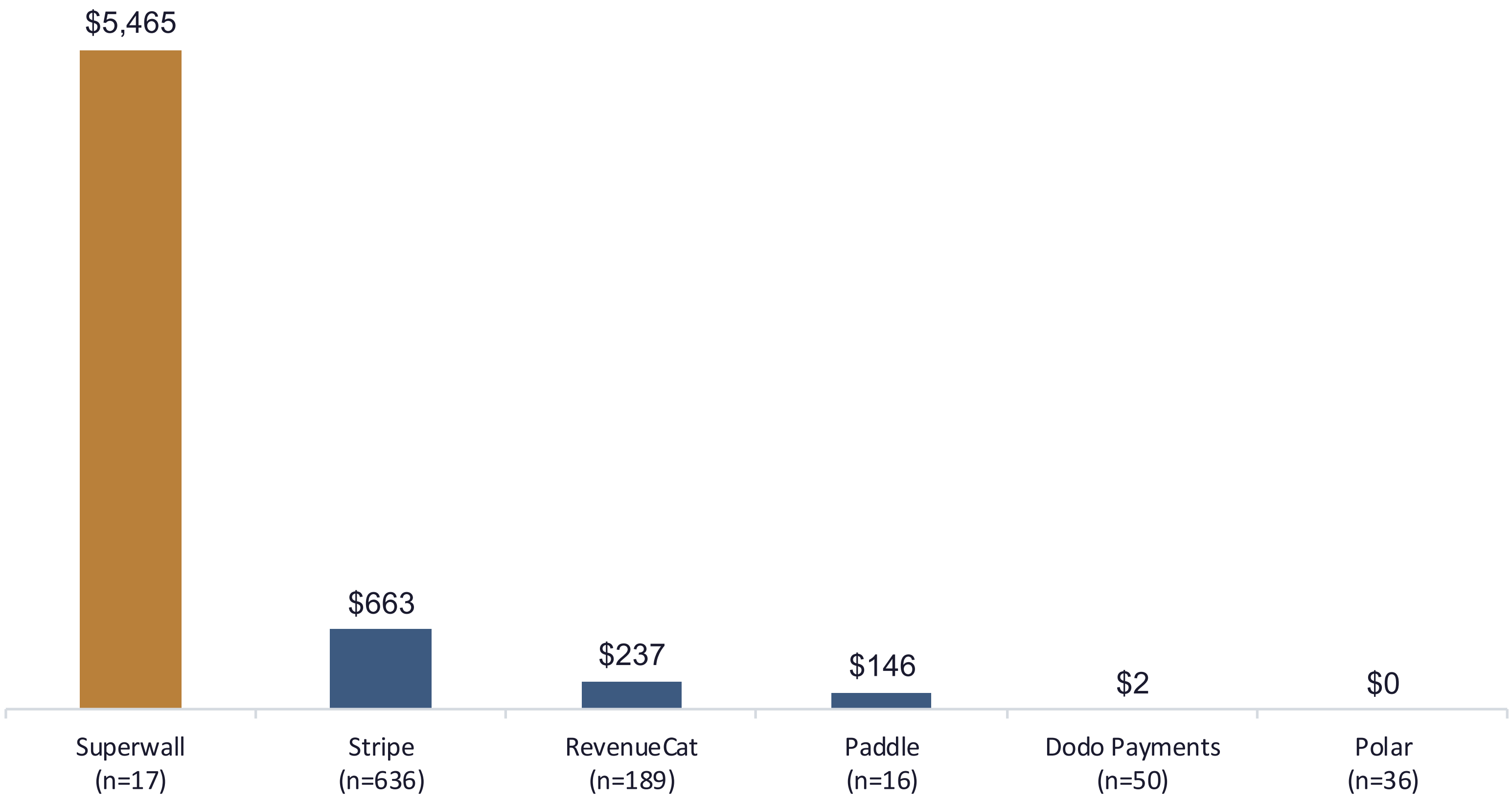
Followers, by contrast, correlate just 0.31 with revenue (log-log).

Caveat: this is a correlation. Revenue could just as easily fund stronger content and backlinks as the reverse.

INFERENCE

Founders upgrade tooling after they scale, not before

Median MRR by payment provider: premium tools cluster with premium revenue.



5–8x

more revenue among Superwall/Stripe users vs. Polar/Dodo users.

Caveat: based on a small sample (n=17) with no time-series per company. A hypothesis worth testing further, not a proven causal claim.

INFERENCE

Most high-revenue startups aren't growing fast, they're plateaued

Mean vs. median 30-day MRR growth (%) by revenue bucket.

869%

mean growth in the $100k+ bucket vs. a 2.4% median.

1–2 outlier startups (e.g. Stan) are entirely responsible for that mean. Most large, established startups here are flat, not surging.

The Signals Worth Trusting Are Quiet, Not Loud

LOUD SIGNALS · UNRELIABLE

- Follower / social growth
- Building in a hyped category (AI)
- Headline growth-rate %
- Trendy new payment tooling early

QUIET SIGNALS · TRUSTWORTHY

- Domain rating / SEO authority
- Underexploited B2B niches
- Sustained plateaued revenue base
- Payment stack matched to actual stage

SO WHAT

Three Actions This Points To

01

Re-weight diligence signals

Trust domain rating and payment-stack maturity over follower counts and category buzz when screening startups.

02

Steer toward underexploited lanes

B2B Analytics and Marketing carry 5–12x the median MRR of the most crowded category (B2C AI), with far less competition.

03

Benchmark on median, not mean

One or two outliers (Stan alone is ~18% of all revenue) will make any category or cohort look healthier than it is if you average.

CLOSING

How Much Should You Trust Each Claim?

All four inferences are cross-sectional stories imposed on a single snapshot, ranked here by evidence strength from strongest to weakest.

STRONG	**Category crowding vs. profitability**	Large sample, consistent gap across every category pairing.
MEDIUM	**Domain authority as a revenue moat**	Strong correlation, but causal direction is untested.
MEDIUM	**Growth-rate headlines are outlier-driven**	Clear in the data, but the top bucket is only 15 startups.
WEAK	**Payment stack signals maturity**	No time series per company; premium-tool sample is very small (n=17).

Treat this as a hypothesis set to test further, not a settled verdict.